STATE OF OHIO
BEFORE THE STATE EMPLOYMENT RELATIONS BOARD

In the Matter of Conciliation Between

FRATERNAL ORDER OF POLICE/
OHIO LABOR COUNCIL, INC.

Employee Organization

And

PERRY TOWNSHIP (STARK COUNTY), OHIO

The Employer

Case Nos. 2018-MED-09-0929
2018-MED-09-0930

Conciliator: Jerry B. Sellman
Date of Report: March 1, 2019

REPORT AND AWARD OF CONCILIATOR

APPEARANCES:

FOR THE EMPLOYEE ORGANIZATION:

Chuck Aliff - Staff Representative, FOP/OLC, Inc.
John Wellman - Union Associate
Matt Barker - Union Associate
Bill Watson - Union Associate
Daniel Dole - Union Associate
Mary Schultz – Consultant with Sargent & Associates

FOR THE EMPLOYER:

Charles D. Hall III – Attorney with the Hall Law Firm and Perry Township Law Director, representing Perry Township (Stark County) Ohio, the Employer
Craig E. Chessler - Perry Township Trustee
Chief Michael T. Pomesky – Perry Township Chief of Police
Joe Schlegel – Financial Officer with Perry Township

Preliminary Information

This matter concerns unresolved issues between Perry Township (Stark County), Ohio (hereinafter referred to as the "Employer" or the "Township") and the Perry Township (Stark County), Ohio Police Department Patrol Officers, Detectives, and Sergeants (hereinafter referred to as the "FOP" or "Union") under the terms of two successor Collective Bargaining Agreements (the Patrol Officers and Detectives Agreement and the Sergeants Agreement).

Background on the Bargaining Unit

The Union is the exclusive bargaining representative of Patrol Officers, Detectives and Sergeants of the Perry Township Police Department. The Patrol Officer and Detective bargaining unit are parties to an Agreement with the Township and the bargaining unit is comprised of twenty (20) members (currently there is one vacancy in the Patrol Officer unit). The Sergeant bargaining unit is a party to an Agreement with the Township and the bargaining unit is comprised of four (4) members. Both collective bargaining agreements are effective from January 1, 2016 through December 31, 2018. There are two (2) other bargaining units within the Township, a unit of firefighters represented by the IAFF and a unit of road and bridge workers represented by AFSCME.

Background of the Township

Perry Township is one of the seventeen townships in Stark County, Ohio, located in Northeast Ohio. It is an urban township with an estimated population of 28,338 residents in 2017. The Township is governed by a three-member Board of Trustees elected by popular vote. The Township is funded almost exclusively by levies, voted and non-voted. There are two (2) voted levies totaling 7.39 mils funding the Police Department. Those levies are up for renewal in 2019. Renewals of police levies have historically passed by wide margins. The Township also receives funding through unvoted levies. Income from those levies is designated for the General Fund (1.0 mils) and roads (1.5 mils). It is anticipated that renewal levies and an additional levy will be placed on the ballot for the Police Department in 2019. It is expected that other levies will be on the ballot in Stark County at the same time.

Financial Background of the Township

Perry Township is financed by property taxes, the Local Government Fund, cable franchise fees and fees for services. Property Taxes are levied for the General Fund, Roads & Bridge Fund, and the Police and Fire Department Funds. In 2018, property taxes comprised 5%, and the cable franchise fee comprised 42% of the General Fund revenue. The Local Government Fund (LGF) represented 26% of the General Fund revenue. The Township previously collected estate taxes, which were eliminated in 2013.The Township Police department is financed entirely by the Police District Fund.

Due to prudent fiscal management by the Township Trustees and the Township Financial Officer, the Township's General Fund is fiscally sound. Over the last several years, the Townships General Fund has ended each year with a healthy Carryover. The Government Finance Officers Association (GFOA) recommends that a public entity maintain a carryover balance to cover at least two months of expenses, which is 16% of annual expenses. The Township's Carryovers have been in excess of 90% for several years. This indicates that the Township is both conservative and prudent.

One of the reasons the General Fund is healthy is that the Township Police Department costs are paid from the Police District Fund. The Police District Fund receives approximately $3,450,000 from property tax levies. A 3.9 mill, 5-year Police levy was renewed in August 2014 by a 70% majority.

Unlike the General Fund, the Carryover balance of the Police District Fund is, as a percentage, much smaller. Prior to year-end 2018, the Carryover Fund balance of the Police District Fund was $41,000 in 2017 and $42,000 in 2016. At year-end 2018, the Carryover balance was $132,000, which represented a 3.9% carryover (annual expenses were $3,406,000). Since the Police District Fund is classified as a special revenue fund, and money in the Fund can only be spent on the expenses of the Police Department, the fund is not held to the same GFOA recommended percentage carryover as the General Fund.

Since the Police District Fund is funded from property taxes, revenues have generally not been received in the first two months of the year prior to property tax distributions. As such, the Township General Fund has advanced money to the Police District Fund to meet the first two months expenses. All advances have been repaid. Since the Police District Fund Carryover was significantly higher at the end of 2018, there were no advances to the Police District Fund budgeted for 2019.

While the Township Trustees have the ability to transfer funds from the General Fund to the Police District Fund, if needed, without revenues from the levies (past and proposed) the General Fund Carryover Balance would not be sufficient to cover all the expenses of the Police Department. With full funding from the levies, the General Fund could be used to subsidize the Police District Fund, but such should be unnecessary if the new levies are supported by the voters.

For 2018, a total of $1,672,526 was expended for Police Department wages. The total includes the Police Chief, overtime, holiday pay, sick leave and any other wages. The total also may include the wage costs of civilian employees, since the Township codes all Police Department salaries to one account. Based upon current staffing levels, it is calculated that a one percent (1%) increase in police officer wages will cost the Township a total of $16,726. The full-in cost (OPERS, Medicare, Workers Comp., etc.) would be $20,332.

Negotiating history of the Parties

Bargaining sessions were held on October 25, 2018 and on November 6, 2018, and the parties were able to agree on language to be contained in most of the Articles in a new Collective Bargaining Agreement. Unable to resolve all of the issues discussed, a Fact-finding hearing was held on November 27, 2018 and Fact-Finder Gregory J. Lavelle, Esq., issued his Report and Recommendation on December 11, 2018. The Union approved the Fact-finding report while the Employer rejected the report pursuant to ORC 4117. l 4(C)(2) to (C)(6), and the unresolved issues were submitted to the final offer settlement procedure in accordance with OAC 4117-9-06. SERB ordered the parties to conciliation pursuant to OAC 4117-9-06(A) effective January 3, 2019. On February 21, 2019, a conciliation hearing was conducted.

An attempt at mediation was undertaken in good faith by the parties, and a couple of the disputed issues were resolved. Not having resolved all of the issues, the following issues were submitted to the Conciliator for resolution:

1.) Overtime Pay and Court Time (Article 23, Section 23.6)
2.) Vacation (Article 25, Section 25.1)
3.) Compensation (Article 32, Patrol and Detectives Agreement)
4.) Compensation (Article 32, Sergeants Agreement)

From between each of the party's final settlement offers on each of the issues, a Conciliator is required to select the offer of one party or the other without modification. The selection between the final offers is based upon the criteria set forth in Section 4117.14(G)(7) of the Ohio Revised Code. They are:

(a) Past collectively bargained agreements, if any, between the parties;

(b) Comparison of the issues submitted to final offer settlement relative to the employees in the bargaining unit with those issues related to other public and private employees doing comparable work, giving consideration to factors peculiar to the area and classification involved;

(c) The interest and welfare of the public, and the ability of the public employer to finance and administer the issues proposed, and the effect of the adjustments on the normal standard of public service;

(e) The lawful authority of the public employer;

(f) The stipulations of the parties;

(g) Such other factors, not confined to those listed in this section, which are normally or traditionally taken into consideration in the determination of issues submitted to final offer settlement through voluntary collective bargaining, mediation, fact-finding, or other impasse resolution procedures in the public service or in private employment.

ISSUES

The following summarizes the positions of the parties, the evidence and arguments offered in support of each party's proposal, the Conciliator's analysis, and the Conciliator's Award on the issue presented. In issuing an Award, the Conciliator considered all the proposals of the parties collectively, the tentative agreements and other fringe benefits, as well as compensation received by other Township employees.

ARTICLE 23
OVERTIME PAY AND COURT TIME

Final Offers on Overtime Pay and Court Time (Both Bargaining Unit Agreements)

The Union proposes to amend the current language in Section 23.6 of the Agreement by eliminating the "twenty-four (24) hour" time period designation and adding additional clarifying language. Currently Section 23.6 states:

"In no event shall compensatory time be utilized to accumulate overtime during the same twenty-four (24) hour time period."

The Union's proposal would result in the following change:

"In no event shall compensatory time be utilized to accumulate overtime during the same ~~twenty-four (24) hour~~ time period *that an employee has taken compensatory time off from work*."

The Township proposes maintaining current language.

The Position of the Union

The FOP contends that the current language in Section 23.6 is overreaching and ambiguous and has from time to time unfairly penalized FOP members by not paying them overtime when it is earned under the provisions of Section 23.1. There is no such similar restriction pertaining to the use of compensatory time in the contracts of the Employer's other two bargaining units as set forth in Section 23.6. There have been instances where a person might be denied overtime if compensatory time taken during a particular twenty-four (24) hour period were not counted as time worked for the computation of overtime. An example was given of a person using his approved compensatory time and then being subpoenaed for jury service on the same day. A member who regularly works the afternoon turn (2 PM- 10 PM) and is approved for eight (8) hours of compensatory time off for that regular duty day, is then ordered by court subpoena to appear in court on the following day at 10:00 AM through 1 :00 PM, during his normal off-duty time. That employee will then be unfairly denied overtime because of the language in Section 23.6. Using the same scenario, if that same employee had taken time off using paid vacation leave or paid sick leave and then reported to court the following day, that employee would be paid, or accumulate, overtime. Essentially, the Employer *ex post facto* denies the previously approved compensatory time off by the same number of hours worked outside of his normal duty schedule but within, "the same twenty-four (24) hour time period."

Since Article 23, Section 23 .1, provides that overtime be paid, " ... for all hours worked in excess of eight (8) hours per day or forty (40) hours per week." It has been the Employer's past practice that all paid leave (including compensatory time off), count toward hours worked for purposes of determining overtime for all township employees. The current language is unusual and non-standard and is not found in any other Perry Township union contracts or in other contracts of comparable employees external to this Employer. All township bargaining-unit employees may earn, accrue and use compensatory time, but only employees of the Township police department are subject to the aforementioned restriction.

Employees are not only denied overtime as entitled under Section 23.1, such a practice is also a violation of the Fair Labor Standards Act, Title 29 U.S.C. 201, Section 7(o)(5)(B). The Fair Labor Standard Act provides that "[a]n employee must be permitted to use compensatory time on the date requested unless doing so would 'unduly disrupt' the operations of the agency." The FOP's final offer clears up the ambiguity on the accumulation of overtime and the onerous aspect of the current language, and yet does not lead to a situation that may be unduly disruptive to the employer.

The Position of the Township

The Township argues that the Union's proposal would result in stacking additional overtime on top of the extra duty call -out pay. It argues that whenever an employee works more than eight hours, the employee has, at the employee's exclusive option, the right to either receive overtime at 1.5 times the employee's current hourly pay rate or to earn compensatory time off at 1.5 times the employee's current hourly pay rate. If an employee has scheduled a compensatory time off day and then is subpoenaed into either court or before the grand jury, that employee receives a three (3) hour call-out under Article 22.

Analysis

Even though the Union has re-crafted new, proposed language in Section 23.6 from its proposal at Fact-finding to address this overtime issue, the proposed language is still unclear and the Conciliator does not interpret the language proposed to clearly result in a solution to the stated problem. It is unclear what "the same time period that an employee has taken compensatory time off from work" means. Since it appears the only time the issue is raised is when a police officer is called in to court after taking a compensatory day off, which is rare, there is little merit to incorporate new proposed language that is, is the Conciliator's opinion, still ambiguous.

Further, while it has been alleged that the current language violates the provisions of the Fair Labor Standards Act (the "Act"), which is deemed supportive of incorporating new language in the collective bargaining agreement, the conciliation process is not the appropriate forum to determine if the application of language in a current collective bargaining agreement violates provisions of a Federal Statute. As such, the Conciliator cannot weigh in on the Union's argument that a current provision of its collective bargaining agreement needs revision to comply with the Act.

Award

The Conciliator selects the final offer of the Township in regard to Overtime Pay and Court Time, as follows:

ARTICLE 23
Overtime Pay and Court Time

Section 23.6. In no event shall compensatory time be utilized to accumulate overtime during the same twenty-four (24) hour time period

ARTICLE 25
VACATION

Final Offers on Vacation

The Union proposes to add an additional week of vacation after fifteen (15) years of service with the Police Department.

The Township proposes maintaining current language, which currently permits a maximum of four (4) weeks' vacation.

The Position of the Union

The Union seeks to add an additional week of vacation, which it considers a "replacement," because its members were previously entitled to more weeks of vacation under prior Agreements. During negotiations that resulted in the 2007-2009 Agreement, vacation benefit concessions were made by the bargaining unit that resulted in fewer weeks of vacation, with the exception of three (3) employees who were grandfathered and allowed to take their fifth week of vacation. Today, many employees are affected or will soon be affected, and they want to receive the same benefits police officers in comparable jurisdictions are receiving. The rough economic times that permeated negotiations twelve (12) years ago have long passed, and now it is time to give back to the officers that which they gave up then.

Currently there are only seven bargaining-unit members who would immediately benefit from an additional week of vacation. The parties' practice of annually prescheduling of vacation leave, approval being dependent on sufficient staffing and other considerations, lessens and mitigates the cost impact associated with granting an additional week of vacation benefit.

Externally, Perry Twp. police officers receive much less vacation over the course of their careers than other comparable police officers in Stark and adjacent counties. The average maximum vacation accrual varies between five (5) and six (6) weeks earned after fifteen (15) to twenty (20) years of service, as demonstrated by the table below:

	Vacation Days[1]						Total
Employer	(1) Year	(5) Years	(10) Years	(15) Years	(20) Years	(25) Years	**Weeks**
Alliance[2]	10	15	20	25	**30**		5
Canal Fulton	10	15	20	**25**			5
Jackson Twp	10	15	20	25	**30**		6
Lawrence Twp[3]	10	15	20		**25**		5
Louisville[4]	10	15	20		**25**		5
Massillon	10	15	20	25	**30**		6
North Canton	10	15	20	25	**30**		6
Orrville[5]	10	15	20	**25**			5
Perry Twp	10	15	**20**				**4**
Wooster[6]	10	15	20	**25**			5
						Average:	**5.2**
						Median:	**5**

Notes: Gray shaded area denotes the lowest benefit level of two-tier benefit levels (if applicable)

1. Source: respective CBA vacation benefits article, **(exhibit D)**
2. Two-tier vacation benefit, hired after 2/14/17 capped at five weeks (25 days/200 hours) at fifteen years service
3. Two-tier vacation benefit, hired after 1/1/03 capped at five weeks (25 days/200 hours) at twenty years service
4. Vacation benefit incremental delineation at 1, 5, 13 and 21 years of service
5. Vacation benefit incremental delineation at 1, 5, 11 and 17 years of service
6. Two-tier vacation benefit, hired after 1/1/05 incremental delineation at 0, 8, 12 and 18 years of service

---

<u>The Position of the Township</u>

The Township opposes the Union's offer and proposes retaining current contract language. The Township argues that in prior negotiations it bargained with the Union to reduce the amount of paid vacation leave in exchange for other economic benefits. Having bargained the current position on vacation leave, it is entitled to the benefit of its earlier bargain. Additionally, granting the patrol officers, detectives, and sergeants an additional week of vacation would be inconsistent with the amount of vacation given to other employees in the Township and would cost the Police Department additional money, which it cannot prudently offer.

Analysis

The Union's rationale for adding an additional week of vacation is based upon internal and external comparisons. While the Union argued that the Firefighters in the Township have more than the equivalent of five (5) weeks of vacation in terms of time off, the hours of work of the Firefighters is so different than that of the Police Officers that an internal comparison with them is not, in this case, logical. I understand the desire of the Township to keep the vacation time of all employees in the Township on equal footing, but additional time off, within the norm applied to police officers of comparable jurisdictions, is a benefit to the community because it allows police officers extra time to recover from an extraordinary stressful job. Many other jobs do not have the stressful situations encountered in law enforcement. The external comparisons do indicate that police officers in surrounding and contiguous townships are receiving more weeks of vacation. While the Township is correct that it is entitled to previously bargained positions, economic times have changed over the last twelve years and consideration should be given to those changes. In light of the bargaining history of the parties and what comparable police officers are being paid in comparable jurisdictions, accepting the Union's proposal and the recommendation of the Fact-Finder is justified because it is affordable and in the best interest and welfare of the public. As noted by the Fact-Finder in recommending a fifth week of vacation, a salient point raised by the Union was that employees under their respective collective bargaining agreements had been earning five (5) weeks of vacation before the national economic disaster which occurred in 2008 and the subsequent drastic reduction of state funding to local governments. This is more of a replacement than an add-on.

I would also agree with the Union that the granting of an additional vacation week should have insignificant economic impact on the Township. The parties' practice of annually prescheduling of vacation leave, approval being dependent on sufficient staffing and other considerations, lessens and mitigates the cost impact associated with an additional week of vacation benefit.

Award

The Conciliator selects the Union's final offer regarding adding an additional week of vacation after fifteen (15) years of service, as set forth below:

ARTICLE 25
VACATION

Section 25.1 Each member of the bargaining unit who has completed one (1) year of service shall be entitled to paid vacation in accordance with the following schedule:

LENGTH OF SERVICE	**NUMBER OF WEEKS**
After one (1) year	**Two (2) weeks**
After five (5) years	**Three (3) weeks**
After ten (10) years	**Four (4) weeks**
After fifteen (15) years	**Five (5) weeks***

Accrual at the five-(5) week rate shall commence with the first pay period beginning on or after January 11, 2019.

ARTICLE 32
COMPENSATION

Final Offers on Compensation

The Union proposes that Patrol Officers, Detectives, and Sergeants (Article 32.1 of both Collective Agreements) receive salary increases of wages by 3% effective January 1, 2019, 2% effective January 1, 2020, and 2% effective January 1, 2021.

The Township proposes a 2% wage increase effective January 1, 2019; a 2% wage increase January 1, 2020, and a 3% wage increase effective January 1, 2021.

The Fact-Finder recommended a 3%, 2%, 2% wage increase commencing January 1, 2019 and each January 1 thereafter for the duration of the three-year Agreement, but further recommended that the Township have the right to a wage re-opener if the proposed 2019 police levies were not funded at the 2018 level, and the Union have the right to a wage re-opener if the proposed police levies were funded above the 2018 level.

The Position of the Union

The Perry Township Patrol Officers, Detectives, and Sergeants, argue that they are woefully underpaid in comparison to employees performing the same duties in other comparable jurisdictions. Wage comparisons were made with Police Officers in nine other neighboring townships or small municipalities: Alliance, Canal Fulton, Jackson Township, Lawrence Township, Louisville, Massillon, North Canton, Orrville, and Wooster.

The FOP members are, primarily as a result of their current negotiated wage scale, paid base rate increases for the first five years, and then base rate increases with further step increases every five years thereafter until reaching the top wage step-scale at twenty (20) years of service. The Union argues that the police officers in Perry Township are underpaid, not only at both the entry level and at the top wage level in comparison to almost all of the other jurisdictions, they earn significantly less over a twenty-year period of service. It argues that while the FOP's amended final offer (it had proposed a 4% increase for each year of the Agreement at Fact-finding) does not nearly do enough to address this disparity, it at least will help in staving off further wage lag behind its externally comparable employees.

In comparison to the cited comparable jurisdictions, Perry County Patrol Officers and Detectives rank next to last in entry level wages paid, with Alliance being the lowest paid comparator. At the top wage scale, the Patrol Officers and Detectives rank 8th, also near the bottom. Police Officers and Detectives are paid a below-average wage at both the top and lower wage scales. Using the same comparators, the Sergeants' wages rank 6th out of 9.

The overall wage increase is not only needed to keep up with other Police Officers, the increases sought are in line with average wages increases reported by the State Employment Relations Board (SERB) in other negotiated contracts over the next three years. SERB reports indicate that average increases for 2019, 2020, and 2021 are 2.78%, 2.34%, and 2.8%. The three-year 7% increase sought by the Union is in line with the 7.92% increases across the state.

The Perry Township Police Department operations is nearly entirely funded by two property tax levies (3.49 mils and 3.9 mils), and both expire this year. Both levies have sufficiently funded the police department operations. The community has supported these levies in the past, and there is no reason to assume that they will not do so again. While these levies will impact years 2020 and 2021 of the proposed Agreement, the 2019 year-end unencumbered carry-over of the Police District Fund is sufficient to fund the increases sought in 2019 in the FOP's final offer wage proposal. The Employer is contemplating putting before the electorate in 2019 or 2020 an additional 2.5 mil levy to fund expanded police department operations, e.g., increased staffing and operational capabilities.

Financially, the Employer has the ability to finance the FOP's wage proposal. The FOP had requested that Mary Schultz of Sargent & Associates review and examine the Employer's financial condition from 2015 through 2019. The Perry Township 2018 General Fund ended 2018 with a balance of $1,035,000 which represents a 92% carryover balance of expenditures. The Perry Township Police District Fund, which funds the police department, ended the 2018 fiscal year with a $132,000 carryover into 2019, which is easily more than enough to cover the first year of the FOP's final offer wage proposal cost of $60,992, estimated by Schultz, and is only $20,333 more than the first year of the Employer's last best offer. Schultz' estimate covers all police department employees, both union and non-union. Sine the Police Department has funded its operations separate from the General Fund, with the exception for healthcare benefits, which is determined by the township's Insurance Committee, its Agreements contain a unique wage step-structure that differs substantially from other township employees' Agreements, which demonstrate that the Township is not engaged in patterned bargaining.

The FOP's final offer wage proposal of 3%/2%/2% and the Employer's last best offer of 2%/2%/3% differs only by one percent (1.0%) in the first year of the successor agreement. The FOP has more accurately estimated the cost of its final offer for bargaining-unit members only, while also accounting for movement of members through the steps of the wage table over the life of the successor agreement. The FOP's final offer cost to the Employer is roughly $88,366 compared to $72,428 cost for the Employer's last best offer. The more accurate difference between the FOP and the Employer amounts to only $15,938 in the first year and less than $49,000 for the life of the Agreement.

The Employer has been conceptually planning on expanding the police department operations and increasing staffing levels by five (5) additional full-time and three (3) part-time officers supported by appropriations generated from the passage of an additional 2.5 mil property tax levy. The FOP points out that in the Employer's budget for five additional full-time officers, the Employer uses the current top wage earned at twenty years of service and compounds the total salary costs for the new officers by adding roll-ups on the top wage. The Employer's conservative budgetary approach ensures significant and sufficient buffer reserves to finance the FOP's final offer. Considering that the top wage at twenty-years of service ($28.10) is $8.62/hour more than the first-year wage and adding roll-ups and factoring for five new hires, the budget estimate is nearly $109,000 more than necessary in the first year alone. Conversely, averaging the first three years wage steps equals $21.17 per hour and completing the same exercise, the cost for five new hires over the life of the successor three-year Agreement is roughly $262,810 less than the Employer has budgeted. Bottom line, the Employer has the ability to finance the FOP's final offer wage proposal.

The Position of the Township

The Employer argues that its proposal is prudent in light of the funding sources available to fund the Police Department operations and the increases given to other union and non-union employees in the Township. It is also reasonable in light of the other provisions in the Agreement that give additional step seniority increases at years 2, 3 and 4 of employment and the low contribution rate the employees pay for Health Insurance. The Police Officers only pay eight percent (8%) of the monthly major medical and hospitalization costs, whereas similarly situated bargaining units in other comparable jurisdictions pay at least fifteen per cent (15%) and some much more of those costs. Further, the increase in cost to each bargaining-unit member for 2019 is zero per cent (0%), which is practically unheard of today. Because the Township is providing this significant economic benefit to the Police Officers, the Police Officers should be willing to accept the Township's wage proposal as a prudent balance of resources. While other jurisdictions may pay slightly higher wages, more or their wages must be used to pay for health insurance in comparison with these bargaining units.

While the Police Department has had a carry-over from the police levies over the last few years, in calendar years 2017 and 2016, the Board had to approve short-term loans from the General Fund to the Police Fund to avoid unlawful deficit spending for payroll and expenses in the first quarter of the year until the property taxes were collected and distributed. Since this can be a repeated occurrence, the General Fund carry-over needs to be maintained for these situations and not to directly fund the operations of the Police Department.

While the Township is confident that it can fund its proposed increases, the 2019 - 2021 budgets are extremely precarious with a bare minimum carry-over. Two levies are expiring in 2019, and there is a need for additional levy funding commencing in 2020 to support expanded operations, which is needed to provide necessary law enforcement in the Township. The Board is seeking a renewal of a 3.9 mill expired levy, a renewal of a 3.49 mill expired levy, with an increase of 2.5 mills to constitute a 5.99 mill levy. These levies will be competing with a 5.0 mill additional road levy, a school levy, a library levy and a Stark County Mental Health Board levy. If the two separate police renewal and renewal and increase levies do not pass at the May 7 Primary Election, there remains only one more opportunity at the November 6, General Election to attempt funding the police department. Failure of one or both will result in either massive cuts and lay-offs and a real threat of no police protection for Perry Township. In light of this, wage increases in addition to those proposed by the Township cannot be considered.

Perry Township residents have approved the Police levies in the past, but they are informed voters. If the electorate perceives that the new levies will not result in more officers on patrol and more efficient pooling of the money, but instead only go to increased wages, the levies will, in all probability, not be voted on favorably.

Analysis

Fortunately for Perry Township, it is currently healthy financially. Through prudent management by the Trustees, sacrifices by Township employees, and financial support by the citizens of the Township in funding special levies, the Township has been able to make up for lost revenues from the State and the downturn in the economy ten years ago. The issue on wages is not focused upon whether or not to give any increases, to which both parties agree is needed, but how much of a wage increase is appropriate in light of maintaining reduced employee health insurance contributions, planned necessary (and promised) increases in police officers, and wage increases given to other bargaining and non-bargaining employees.

The Township does have healthy carryovers in its General Fund, but the Police Department has been funded through the Police District levies, which are about to expire. If the levies are not renewed, the General Fund would struggle to support the full Police Department operations, let alone the increase sought after 2019. It appears both the FOP and the Township believe new levies will pass, which they have in the past, to support operations; otherwise the Township would not be proposing any increases, and the FOP would have a difficult time in supporting any increase.

The comparables provided by the Union support the need for an increase in the wage package. I would agree with the Township that singling out one of the Townships, such as Jefferson Township, skews the analysis because it is a community with more residents, higher incomes, and higher median housing values. Nonetheless, the ranking of entry wage levels and top wage levels to nine other jurisdictions, if not increased, will ultimately have a negative impact on hiring and maintaining a police force in Perry Township. The financial health of Perry Township is such that it can afford increases in 2019, and additional increases thereafter, if the levies pass. Those increases are in the best interest of the public in order to maintain adequate law enforcement coverage in the Township.

Recognizing the above factors, I must conclude that the wage proposal of the Union is supported by the evidence. The Union provided financial projections, based upon data provided by the Township, that the wage increases can be covered by anticipated revenues from the Police levies. The difference in the total dollar amount of the wage package proposed by the Union and the Township is insignificant overall, yet granting a three percent (3%) increase at the beginning of the new Agreement, as opposed to the end, will help move the Police Officers up in the comparative ranking. This will help maintain good morale in the police department and result in optimum police performance. The Union's argument that higher wages were necessary to keep competitive with comparable communities was compelling, and the Conciliator believes that the awarded wage increases will enable the bargaining-unit members to do that.

The Township recognized that increases were necessary, but desired to maintain internal consistency in awarding wages. While the Conciliator generally agrees with this approach as being in the best interest of the community, departures are often recommended in order to not only adequately compensate safety forces, but to keep the wages competitive to attract new hires. The proposed increase in wages will not bring parity with the pay of comparable police departments, but the Police Officers will make major strides in that direction.

Award

The Conciliator selects the Union's final offer of a wage increase of 3.0% effective January 1, 2019; 2.0% effective January 1, 2020; and 2% effective January 1, 2021, as follows:

PATROL OFFICERS AND DETECTIVES
ARTICLE 32
COMPENSATION

Section 32.1 Effective January 1, ~~2016~~ **2019** each Classification shown below, Classification A through H, inclusive shall increase by ~~two~~ **three** percent ~~(2.0%)~~ **(3.0%)**, and the base rate for each classification shall be:

~~Classification~~	~~2016 Base~~	~~Step 1~~	~~Step 2~~	~~Step 3~~	~~Step 4~~
		~~(2.00%)~~	~~(2.50%)~~	~~(3.50%)~~	~~(4.00%)~~
~~A. Probationary~~	~~**$18.73**~~				
~~B. 1 – 2~~	~~**$21.77**~~				
~~C. 2 – 3~~	~~**$23.42**~~				
~~D. 3+~~	~~**$24.98**~~				
~~E. 5~~	~~$25.48~~	~~**$25.99**~~			
~~F. 10~~	~~$25.61~~		~~**$26.25**~~		
~~G. 15~~	~~$25.86~~			~~**$26.77**~~	
~~H. 20~~	~~$25.97~~				~~**$27.01**~~

Classification	2019 Base	Step 1	Step 2	Step 3	Step 4
		2.00%	2.50%	3.50%	4.00%
A. Probationary	**$20.06**				
B. 1 – 2	**$23.33**				
C. 2 – 3	**$25.10**				
D. 3+	**$26.77**				
E. 5+	$27.31	**$27.85**			
F. 10+	$27.44		**$28.13**		
G. 15+	$27.72			**$28.69**	
H. 20+	$27.83				**$28.94**

Section 32.2 Effective January 1, ~~2017~~ **2020** each Classification shown below, Classification A through H, inclusive shall increase by two percent (2.0%), and the base rate for each classification shall be:

~~Classification~~	~~2017 Base~~	~~Step 1 (2.00%)~~	~~Step 2 (2.50%)~~	~~Step 3 (3.50%)~~	~~Step 4 (4.00%)~~
~~A. Probationary~~	~~$19.10~~				
~~B. 1 – 2~~	~~$22.21~~				
~~C. 2 – 3~~	~~$23.89~~				
~~D. 3+~~	~~$25.48~~				
~~E. 5~~	~~$25.99~~	~~$26.51~~			
~~F. 10~~	~~$26.12~~		~~$26.77~~		
~~G. 15~~	~~$26.38~~			~~$27.30~~	
~~H. 20~~	~~$26.49~~				~~$27.55~~

Classification	2020 Base	Step 1 2.00%	Step 2 2.50%	Step 3 3.50%	Step 4 4.00%
A. Probationary	**$20.47**				
B. 1 – 2	**$23.80**				
C. 2 – 3	**$25.60**				
D. 3+	**$27.31**				
E. 5+	$27.85	**$28.41**			
F. 10+	$27.99		**$28.69**		
G. 15+	$28.27			**$29.26**	
H. 20+	$28.39				**$29.52**

Section 32.3 Effective January 1, ~~2018~~ **2021** each Classification shown below, Classification A through H, inclusive shall increase by two percent (2.0%), and the base pay rate for each classification for all bargaining unit members shall be:

~~Classification~~	~~2018 Base~~	~~Step 1 (2.00%)~~	~~Step 2 (2.50%)~~	~~Step 3 (3.50%)~~	~~Step 4 (4.00%)~~
~~A. Probationary~~	~~$19.48~~				
~~B. 1 – 2~~	~~$22.65~~				
~~C. 2 – 3~~	~~$24.37~~				
~~D. 3+~~	~~$25.99~~				
~~E. 5~~	~~$26.51~~	~~$27.04~~			
~~F. 10~~	~~$26.64~~		~~$27.31~~		
~~G. 15~~	~~$26.91~~			~~$27.85~~	
~~H. 20~~	~~$27.02~~				~~$28.10~~

Classification	2021 Base	Step 1 2.00%	Step 2 2.50%	Step 3 3.50%	Step 4 4.00%
A. Probationary	**$20.88**				
B. 1 – 2	**$24.27**				
C. 2 – 3	**$26.12**				
D. 3+	**$27.85**				
E. 5+	$28.41	**$28.98**			
F. 10+	$28.55		**$29.26**		
G. 15+	$28.84			**$29.85**	
H. 20+	$28.96				**$30.12**

SERGEANTS
ARTICLE 32
COMPENSATION

Section 32.1 Effective January 1, 2007, and for the life of this agreement, there shall be a rank differential between the base salary of a sergeant and a base salary of the highest paid Patrol Officer of fifteen percent (15%). For the purposes of this Agreement, the base salary of a Patrolman, shall be the amount set forth at ARTICLE 32, COMPENSATION, Section 32.1-3 (H) as calculated without step, at page 44, of the Collective Bargaining Agreement between the PERRY TOWNSHIP BOARD OF TRUSTEES, STARK COUNTY, OHIO (PERRY TOWNSHIP POLICE DEPARTMENT) AND FRATERNAL ORDER OF POLICE, OHIO LABOR COUNCIL, INC., representing PATROL OFFICERS and DETECTIVES, for the period January 1, ~~2016~~ **2019** through December 31, ~~2018~~ **2021**.

~~January 1, 2016 Pay Chart 2.0% Sergeants~~		
~~Base~~	~~15% Rank Differential~~	~~Pay Rate~~
~~$25.97~~	~~$3.90~~	~~$29.87~~
~~January 1, 2017 Pay Chart 2.0% Sergeants~~		
~~Base~~	~~15% Rank Differential~~	~~Pay Rate~~
~~$26.49~~	~~$3.97~~	~~$30.46~~
~~January 1, 2018 Pay Chart 2.0% Sergeants~~		
~~Base~~	~~15% Rank Differential~~	~~Pay Rate~~
~~$27.02~~	~~$4.05~~	~~$31.07~~

January 1, 2019 Pay Chart 3.0% Sergeants		
Base	15% Rank Differential	Pay Rate
$27.83	$4.17	$32.00
January 1, 2020 Pay Chart 2.0% Sergeants		
Base	15% Rank Differential	Pay Rate
$28.39	$4.26	$32.65
January 1, 2021 Pay Chart 2.0% Sergeants		
Base	15% Rank Differential	Pay Rate
$28.96	$4.34	$33.30

Section 32.2 All bargaining unit members assigned to the "afternoon shift" shall receive an additional sixty cents ($0.60) per hour increase in their base compensation.

All bargaining unit members assigned to the "midnight shift" shall receive an additional sixty cents ($0.60) per hour increase in their base compensation.

Any bargaining unit member who actually works from 1400 to 0559 shall receive an additional sixty cents ($0.60) per hour increase in their base compensation.

Conclusion

After due consideration to the positions and arguments of the parties and the criteria enumerated in ORC §4117.14(G)(1) and ORC §4117.14(G)(3) regarding the scope of the issues before the Conciliator and ORC 4117.14(G)(7), the Conciliator awards the last best offer of each respective Party as specifically set forth hereinabove. At the mutual request of the parties, the Conciliator also awards all tentative agreements reached by them.

This concludes the Conciliator's Report and Award.

March 1, 2019
Columbus, Ohio

Jerry B. Sellman

CERTIFICATE OF SERVICE

The undersigned certifies that a copy of his Conciliator's Report and Award was sent via email, receipt confirmed on March 1, 2019 to:

SERB
Mary E. Laurent
Administrative Assistant
65 E. State Street
Columbus, OH 43215
mary.laurent@serb.state.oh.us

Charles Hall, Esq., Law Director
Perry Township, Stark County
3111 Hilton Street, North West
Massillon, OH 44646
halllawfirm@neohio.twcbc.com

Chuck Aliff, Staff Representative
FOP/OLC Inc.
2721 Manchester Road
Akron, Ohio 44319-1020
califf@fopohio.org

Jerry B. Sellman